Financial & Non-Financial Motivation

Unit 1 · 1.3.4.4 Managing people

Financial methods (linked to Taylor)

- **Piece-rate pay** — paid per unit produced; drives output in factories.
- **Commission** — a % of each sale; common for sales staff (e.g. BMW showrooms).
- **Bonus payments** — extra on top of basic pay (e.g. Lidl's £200 Covid “thank you” bonus to 25,000 staff, £5.5m).
- **Profit share** — staff receive a slice of profits, aligning them with the firm.
- **Employee share ownership** — staff own shares and gain when the firm succeeds.

Financial rewards work best for money-motivated staff, but Herzberg warns they mainly prevent dissatisfaction rather than drive long-term effort.

Non-financial methods (Mayo, Maslow, Herzberg)

- **Delegation & empowerment** — giving staff authority and trust to decide.
- **Consultation** — involving staff in decisions (e.g. Nissan quality circles).
- **Team working** — Nissan builds cars in teams of 25, with socialising, a free gym and family events.
- **Job enrichment / rotation / enlargement** — more challenge, variety or responsibility (Nissan rotate weekly and are multi-skilled).
- **Flexible working** — flexible hours and home working (e.g. Nestlé's flexible hours and dog-friendly HQ).